13 -- INCOME TAXES

The provision for income taxes consists of the following for the years ended December 31:

	2000	1999	1998
Current:			
Federal	$ 5,868	$ 1,080	$ 570
State	627	107	--
Foreign	2,551	2,603	2,433
	9,046	3,790	3,003
Deferred:			
Federal and State	5,258	(146)	(1,572)
Foreign	384	1,811	1,848
	5,642	1,665	276
Decrease in valuation allowances	(580)	(161)	--
	$ 14,108	$ 5,294	$ 3,279

The components of deferred tax assets and liabilities consist of the following at December 31:

	2000	1999
Current assets and liabilities:		
Unrealized appreciation on marketable securities	$ (519)	$ (2,812)
Inventories	525	486
Accrued expenses	844	519
Other items, net	355	114
	1,205	(1,693)
Non-current assets and liabilities:		
Net operating loss and tax credit carryforwards	18,073	21,855
Employee costs	(6,529)	(5,499)
Depreciation and amortization	(14,868)	(14,464)
Other items, net	(342)	(1,195)
	(3,666)	697
Valuation allowances	(1,420)	(7,800)
Net deferred tax liability	$ (3,881)	$ (8,796)

The Company's practice is to reinvest the earnings of its foreign subsidiaries in these operations. Deferred income taxes have not been provided on these earnings, as the Company does not plan to initiate any action that would require the payment of related U.S. income taxes. It is not practicable to estimate the amount of additional tax that might be payable on these undistributed foreign earnings.

The Company has net operating loss carryforwards of $0.6 million for Chinese tax purposes which expire in 2005. Certain other foreign carryforwards have no expiration date. The Company also has research and experimentation tax credit carryforwards of $5.3 million for U.S. federal income tax purposes which expire in 2001 through 2014. Additionally, the Company has alternative minimum tax credit carryforwards of $9.0 million, which may be used indefinitely to reduce U.S. federal income taxes.

A valuation allowance is provided for deferred tax assets if management believes it is more likely than not these items will either expire before the Company is able to realize their benefit, or that future deductibility is uncertain. Although realization is not assured, management believes it is more likely than not that the recorded deferred tax assets, net of valuation allowance provided, will be realized. The Company's valuation allowances are $1.4 million and $7.8 million at December 31, 2000 and 1999, respectively.

During 2000, the Company reassessed its ability to realize the benefit of certain deferred tax assets and reversed valuation allowances totaling $6.4 million, approximately $0.6 million of which was recorded to the provision for income taxes in the statement of operations and $5.8 million, which related to acquired deferred tax assets, was recorded as a reduction to goodwill.

The reconciliation of income tax from continuing operations computed at the U.S. federal statutory tax rate to the Company's effective income tax rate is as follows for the years ending December 31:

	2000	1999	1998
U.S. federal statutory income tax rate	35.0%	35.0%	35.0%
State income taxes, net of federal income tax benefit	1.6%	0.7%	0.5%
Amortization of non-deductible intangible assets	3.8%	7.7%	9.0%
Foreign and U.S. tax effects attributable to foreign operations	(4.3%)	(15.2%)	(11.1%)
Change in valuation allowances	(1.3%)	(0.7%)	--
Tax credits	(2.9%)	(3.3%)	(13.7%)
Other, net	(0.9%)	--	(0.4%)
	31.0%	24.2%	19.3%

The Company is subject to a tax ruling in The Netherlands, which effectively reduces the local effective income tax rate from 35% to 17.5%. This ruling will expire at the end of 2005.